

EARNINGS PREVIEW

NVIDIA Corporation

Q2 FY2027 | Reporting August 26, 2026



EVENT	SPOT	CONSENSUS REVENUE	SCENARIO EV
Aug 26 21:00 UTC	\$217.08	\$91.93B	\$243.75

THE SETUP

A routine beat is unlikely to be enough. The stock likely needs a durable Q3 growth guide, steady gross margin and credible Rubin/China upside. The two primary drivers are the quality of the forward guide and post-quarter H200 shipment optionality.

Net assessment: Mildly Positive | Key risk: elevated behavioral bar and export-policy volatility | Next catalyst: August 26, 2026.

All values are in U.S. dollars. Market data are as of August 19, 2026. This document distinguishes sourced facts from analytical estimates and scenario assumptions.

NVIDIA Q2 FY2027 Earnings Preview

Driver 1 - Beat quality, not beat existence
FactSet consensus of \$91.93B is already about 1% above NVIDIA's \$91B guidance midpoint. Morgan Stanley notes four consecutive negative next-day reactions despite strong results.^{[5][7]}

Driver 2 - China is forward-guide optionality
Q2 guidance assumed no China Data Center compute revenue. Reported H200 deliveries began after quarter-end, making Q3 guidance more important than Q2 actuals.^{[5][9]}

Net setup: Mildly positive, but highly dependent on gross-margin durability, Rubin commentary and the Q3 guide. The probability-weighted scenario value is approximately \$243.75, or 12.3% above spot.

Primary drivers - EPIC documentation

Driver	Effect	Predictability	Consensus blind spot	Variant view	Priority rationale
1. Quality of beat and guide	Revenue, margin and Rubin expectations directly affect value	Formal guidance, consensus and options provide observable benchmarks	A headline beat understates the behavioral bar after four negative post-print reactions	A \$92-94B result may be operationally sound but insufficient without stronger forward commentary	Immediate and measurable; more material than long-dated launches
2. China H200 optionality	China has been meaningful revenue and remains strategically important	Q2 timing is knowable; policy remains uncertain	Guidance assumed zero China Data Center compute revenue	Limited Q2 contribution but meaningful Q3-guide upside if shipments continue	Direct effect on forward estimates and geopolitical risk

Deprioritized: the \$500B infrastructure-financing initiative remains subject to final agreements, while no quantified near-term financial exposure was available for the copyright litigation.

Earnings quality quick screen

Check	Observation	Implication	Watch for
OCF / net income	Q1 OCF \$50.34B / net income \$58.32B = 0.86x. ^[6]	Healthy on the conventional >0.8 screen; stronger after removing equity gains	OCF/Ni above 0.8; working-capital use; equity-gain reversals
DSO trend	Approx. 45 days vs 52 days prior; receivables +5.8% QoQ vs revenue +19.8%. ^{[2][6]}	No immediate recognition warning	Receivables vs revenue; customer concentration; channel inventory
GAAP vs non-GAAP	Q1 GAAP EPS \$2.39 vs non-GAAP \$1.87; the reverse gap reflects equity gains. Revised non-GAAP now includes SBC. ^[5]	GAAP EPS overstates core operating earnings	Mark-to-market volatility and new recurring exclusions

Financial expectations

Metric	Published benchmark	YoY / derivation	Analytical view
Revenue	FactSet \$91.93B; Morgan Stanley \$91.2B. ^[7]	+96.7% YoY; +12.6% QoQ	\$92-94B
Non-GAAP EPS	FactSet \$2.08; Morgan Stanley \$2.07. ^[7]	+98.1% YoY	\$2.08-\$2.12
Non-GAAP gross margin	Management 75.0% +/- 50 bp. ^[5]	Formal segment consensus unavailable	74.8%-75.2%
Non-GAAP operating margin	Derived 65.9% at guidance midpoint. ^[5]	75% GM less \$8.3B opex on \$91B revenue	Approx. 66%

Recent performance context

Q1 revenue was \$81.62B, up 85% YoY, with Data Center revenue of \$75.25B, up 92%. Data Center networking grew 199% YoY as Blackwell 300 ramped.^{[5][6]}

DATA QUALITY NOTE

The Bigdata tearsheet's latest-release period label conflicts with its statement rows. This report treats the \$81.62B result as Q1 FY2027, consistent with NVIDIA's release and SEC filing.

Sentiment and positioning

Data type	Metric / fact	Source	As of
News / social sentiment	Not available in data	Bigdata search	Aug 19
Options	Put/call 0.48 vs typical 0.55; IV30 38.83; implied earnings move 4.64%; downside skew steepened. ^[8]	Cboe / search	Aug 13
Short interest / borrow	Not available in data	Bigdata search	Aug 19
Institutional ownership	69.06%, +1.95pp QoQ; 5,918 holders; top-fund net flow \$96.19B. ^[4]	Wall St. Rank	Q2 2026
Insider transactions	Not available; targeted Form 4 search returned no results	Bigdata search	Last 90 days
Sell-side posture	2 Strong Buy, 58 Buy, 16 Hold, 3 Sell; mean PT \$319.48, median \$300. ^[2]	FMP	Aug 19

Positioning is constructive but crowded: calls lead puts and institutional ownership increased, yet investors are paying for downside protection and the sell-side distribution is overwhelmingly positive.

Recent developments and initiatives

- China shipments: about 10,000 H200 processors each reportedly reached ByteDance and Tencent. NVIDIA reportedly holds roughly 500,000 H200 chips intended primarily for Chinese customers.^[9]
- Infrastructure financing: MOUs with Apollo, BlackRock, Blackstone, Brookfield, Goldman Sachs and KKR target more than \$500B of third-party capital. Final agreements remain outstanding.^[11]
- SB Energy: NVIDIA committed \$1.5B and credit support to an Ohio campus leased to OpenAI. The company's \$200B project-revenue estimate is long-dated, not contracted quarterly revenue.^[12]
- Export controls: U.S. lawmakers are considering extending restrictions to remote cloud access by Chinese users. The Remote Access Security Act passed the House but had not passed the Senate.^[10]
- Legal: NVIDIA leadership faces a shareholder suit alleging oversight failures involving copyrighted AI-training material. No quantified exposure was available.^[14]
- Tax: No material tax dispute surfaced in the targeted 90-day search; this is not proof of absence.

Industry trends and sector dynamics

- Inference continues to expand compute demand. AMD estimates inference represents about 60% of 2026 AI compute capacity and projects a \$1.4T accelerator market by 2030.^[13]

- Competition is system-level rather than chip-level. AMD plans Helios rack shipments beginning late Q3, with a Q4 ramp, and claims superior tokens-per-dollar economics.^[13]
- Capital, power and data-center availability remain binding constraints. NVIDIA warns that financing or energy shortages could delay deployments despite strong demand.^[6]

What's priced in

Lens	Implied by market	Published benchmark	Analytical view
Growth	Continued hypergrowth and durable AI spending at roughly 32x P/E	\$91.93B revenue, +96.7% YoY	\$92-94B; modest consensus beat
Margins	Mid-70% gross margin must persist despite complexity and competition	Management 75.0% +/- 50 bp	74.8%-75.2%; below 74.5% is meaningful
Beat / miss bar	More than a headline beat: credible Q3 growth, Rubin economics and China clarity	Consensus already 1% above guidance midpoint	\$1-2B beat without stronger guidance may not lift shares

Valuation cross-check

At the tearsheet snapshot, NVDA traded near 31.9x P/E, 30.3x EV/EBITDA and a 2.32% FCF yield.^[3] The available eight-quarter ranges were 31.9x-55.8x P/E and 30.3x-47.8x EV/EBITDA.

A full five-year range and like-for-like peer median were unavailable. The valuation therefore reads as optimistic but less euphoric relative to NVIDIA's recent history. Conceptually, the price embeds sustained mid-70% margins, strong double-digit growth beyond FY2027 and a long competitive-advantage period.

Variant perception - FaVeS

Fundamentals

The key KPIs are Q2 Data Center revenue, non-GAAP gross margin and the Q3 guide. H200 is unlikely to change Q2 materially but can improve Q3, while Rubin and margin commentary matter more than a small Q2 beat.

Valuation

Recent-history multiple compression provides some support, but 30x-plus earnings still requires unusually durable growth and profitability. The stock is not priced for operational failure.

Sentiment

Institutional ownership and call activity are constructive, while downside skew and four consecutive negative post-earnings reactions show skepticism about whether beats can continue to drive revisions.

Bull case - drivers for upside surprise

1. Blackwell and networking produce a higher-quality beat. Q1 Data Center and networking revenue grew 92% and 199% YoY.^[5] Revenue above \$94B with gross margin near 75% would demonstrate operating leverage.
2. China and Rubin lift the Q3 narrative. H200 shipments have begun, while Rubin is expected to ship in the second half of FY2027.^{[6][9]} A quantified China contribution or stronger Rubin visibility could move outer-year estimates.

Bear case - risks to consensus

1. The behavioral bar exceeds published consensus. Morgan Stanley expects a beat and raise but notes four consecutive negative next-day reactions.^[7] A \$92-93B result with unchanged commentary may fail to drive revisions.
2. Export policy and customer concentration constrain visibility. Q1's three largest direct customers represented 21%, 17% and 16% of revenue, while potential cloud-access restrictions could expand compliance burdens.^{[6][10]}
3. Financed demand raises quality questions. NVIDIA is helping create \$500B-plus financing platforms and providing capital and credit support to infrastructure partners.^{[11][12]} Investors may discount revenue if customer economics or counterparty exposure appears circular.

Scenario analysis

Scenario	Probability	Key assumptions	Value	Return
Bull	25%	Revenue >\$94B; GM near 75%; strong China/Rubin guide; NTM EPS ~\$8.80 at 34x	\$300	+38.2%
Base	50%	Revenue \$92-94B; GM 74.8%-75.2%; modest raise; NTM EPS ~\$8.15 at 30x	\$245	+12.9%
Bear	25%	Revenue near guidance; GM <74.5%; weak forward commentary; NTM EPS ~\$7.10 at 26x	\$185	-14.8%
Total	100%	Probability-weighted value	\$243.75	+12.3%

PROBABILITY-WEIGHTED VIEW

EV = 25% x \$300 + 50% x \$245 + 25% x \$185 = \$243.75, implying 12.3% upside. Bull upside divided by bear downside is about 2.6x.

Key metrics to watch

Metric	Threshold / question	Why it matters
Data Center revenue	Roughly \$85B+ (derived threshold; formal segment consensus unavailable)	Tests whether Blackwell/networking sustain the revenue beat
Non-GAAP gross margin	Around 75%; below 74.5% is a negative	Validates pricing, product mix and system economics
Q3 revenue guide	Sequential growth plus explicit China assumptions	More important to valuation than the Q2 beat
Rubin timing	Second-half FY2027 shipments, yields and customer qualification	Determines duration of growth and competitive advantage
Working capital	Receivables, inventory and OCF/NI	Confirms that revenue remains cash-backed

Management guidance focus areas

- How much H200 China revenue is expected in Q3, and what regulatory deductions or tariffs apply?
- Rubin production timing, customer qualification and gross-margin cadence.
- Whether NVIDIA still expects mid-70% gross margins through FY2027.
- Final terms, guarantees and counterparty exposure associated with financing platforms.
- Power, networking, memory and packaging constraints across full-rack deployments.

Investment implications

The fundamental setup remains strong, and the scenario analysis is positively skewed. However, the market appears to demand more than a conventional beat: the stock likely needs a durable Q3 growth guide, steady gross margin and evidence that Rubin and China can extend - not merely pull forward - the earnings cycle.

CLOSING

Net assessment: Mildly Positive | Key risk: elevated behavioral bar and export-policy volatility | Next catalyst: August 26, 2026 at 21:00 UTC.

Sources

Ref	Document	Date
[1]	Quartr - NVIDIA Q2 FY2027 Earnings Calendar	Aug 19, 2026
[2]	Bigdata.com NVIDIA tearsheet / Financial Modeling Prep	Aug 19, 2026
[3]	Bigdata.com NVIDIA financial ratios / FactSet	Aug 19, 2026
[4]	Bigdata.com NVIDIA fund trends / Wall St. Rank	Q2 2026
[5]	NVIDIA Q1 FY2027 results	May 20, 2026
[6]	NVIDIA Form 10-Q for Q1 FY2027	May 20, 2026
[7]	Morgan Stanley earnings preview via MT Newswires	Aug 17, 2026
[8]	Cboe options sentiment	Aug 13, 2026
[9]	Financial Times - H200 deliveries to China	Aug 19, 2026
[10]	CNBC - U.S. remote-access export controls	Aug 19, 2026
[11]	NVIDIA compute financing platforms announcement	Aug 10, 2026
[12]	MT Newswires - NVIDIA-SB Energy investment	Aug 18, 2026
[13]	AMD Helios and AI accelerator outlook	Jul 24, 2026
[14]	Law360 - NVIDIA AI-training shareholder suit	Aug 3, 2026
[15]	Equisights NVIDIA valuation research	Aug 12, 2026
[16]	NVIDIA Q2 FY2026 results	Aug 27, 2025

Data sources: Bigdata.com search corpus, SEC filings, NVIDIA releases, FMP, FactSet, Quartr, Wall St. Rank and RavenPack.

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